



The German Historical School and the Methodenstreit.

ECON 304

The German Historical School of Economics

- The German Historical School of Economics, often referred to simply as the Historical School (Historische Schule), was a prominent school of economic thought that emerged in the early 19th century in Germany. It represented a departure from classical economics, which was dominated by British economists like Adam Smith and David Ricardo. The German Historical School played a pivotal role in shaping the development of economic thought and policy in Germany and beyond.
- The terms "Old," "Younger," and "Youngest" German Historical School are often used to categorize the different phases or generations within the German Historical School of Economics, each with its own characteristics and focus

Characteristics of the German Historical School:

- **Historical and Evolutionary Approach:** The hallmark of the German Historical School was its emphasis on understanding economic phenomena in their historical and evolutionary context. It rejected the idea of universal economic laws that applied at all times and places, which was a central tenet of classical economics. Instead, it argued that economic principles and institutions were shaped by historical, cultural, and social factors.
- **Institutionalism:** The German Historical School was a forerunner of institutional economics. It stressed the importance of studying economic institutions, such as property rights, legal systems, and social norms, in understanding economic outcomes. This perspective highlighted how institutions could vary from one society to another and shape economic behavior accordingly.

- **Methodological Pluralism:** The Historical School did not adhere to a single methodological approach. It recognized the value of both deductive reasoning (as favored by classical economists) and inductive reasoning (based on empirical observation and historical analysis). This methodological pluralism allowed for a more holistic and context-specific analysis of economic phenomena.
- **Rejecting Laissez-Faire:** While classical economists advocated for minimal government intervention in the economy (laissez-faire), the German Historical School was more inclined toward a role for the state in economic affairs. They believed that government policies should be tailored to the specific needs and circumstances of a nation, as determined by its historical and cultural context.
- **Social Welfare and Ethical Considerations:** The Historical School placed a strong emphasis on social welfare and ethical considerations in economic analysis. It argued that economics should not be solely about efficiency and maximizing individual utility but should also consider the broader societal well-being and moral values.

Prominent Thinkers of the German Historical School:

- **Friedrich List (1789-1846):** Friedrich List was a key figure in the early development of the Historical School. He is best known for his advocacy of protective tariffs and economic nationalism as a means of promoting industrialization and national economic development.
- **Wilhelm Roscher (1817-1894):** Wilhelm Roscher is considered one of the founders of the Historical School. He emphasized the importance of historical research and argued that economics should be rooted in a deep understanding of a nation's history and culture.
- **Gustav von Schmoller (1838-1917):** Gustav von Schmoller was a prominent member of the Historical School and a leading figure in the Verein für Socialpolitik (Association for Social Policy). He emphasized the importance of empirical research and played a significant role in shaping economic policy in Imperial Germany.
- **Karl Knies (1821-1898):** Karl Knies contributed to the development of the Historical School by emphasizing the importance of historical context and the study of institutions in economic analysis.

The Methodenstreit

- The Methodenstreit, which translates to "method dispute" in English, was a debate within the German Historical School that took place in the late 19th and early 20th centuries. It revolved around the appropriate methodological approach to studying economics.
- At the heart of the Methodenstreit were two opposing camps:
- The Historical School, represented by figures like Gustav von Schmoller, emphasized the importance of historical understanding and inductive methods. They argued that economic phenomena were shaped by historical and cultural factors, and therefore, the study of economics should be grounded in detailed historical research.
- The Austrian School, represented by economists such as Carl Menger, Eugen von Böhm-Bawerk, and Friedrich von Wieser, advocated for a more deductive and theoretical approach. They argued that economic laws could be derived from first principles of human action, regardless of historical context. This approach emphasized individual preferences, subjective values, and marginal analysis.

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- The Methodenstreit was not just an academic disagreement but also reflected broader ideological and political differences.
 - The Historical School's emphasis on state intervention in the economy and its support for social welfare policies aligned with the interests of the German state, which sought to consolidate its power and address social unrest.
 - In contrast, the Austrian School's advocacy for free markets and individual liberty resonated with liberal and libertarian thinkers.



- The Methodenstreit was not decisively resolved, and both approaches continued to influence economic thought in Germany and beyond.
- However, the Austrian School's emphasis on theoretical rigor and its contributions to the development of neoclassical economics ultimately gained greater prominence in the mainstream economics profession.
- Nevertheless, the German Historical School's emphasis on historical understanding and its insights into the importance of institutions and social context left a lasting impact on the field of economic history and other disciplines within the social sciences.